

CRED III Master Funds

**Combined Financial Statements (Unaudited)
September 30, 2025**

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CRED III Master Funds
Combined Statement of Assets, Liabilities and Capital (Unaudited)
September 30, 2025

	CRED III Master Fund L.P.	CRED III Holdings L.P.	CRED III Master Funds (Combined)
Assets			
Investments, at fair value (cost \$263,854,253 and \$130,258,966 respectively)	\$ 278,995,981	\$ 142,805,632	\$ 421,801,613
Cash	4,802,763	633,966	5,436,729
Restricted cash	6,566,000	-	6,566,000
Due from affiliates	-	483,959	483,959
Interest receivable	549,476	279,596	829,072
Deferred financing costs, net	55,409	55,409	110,818
Other assets	-	75,000	75,000
Total assets	<u>\$ 290,969,629</u>	<u>\$ 144,333,562</u>	<u>\$ 435,303,191</u>
Liabilities and Capital			
Repurchase facilities payable	\$ 119,774,106	\$ -	\$ 119,774,106
Credit facility payable	30,102,927	50,590,605	80,693,532
Interest payable	1,566,899	440,222	2,007,121
Management fee payable	578,387	655,059	1,233,446
Deferred loan fees, net	-	84,330	84,330
Accounts payable and accrued expenses	46,420	-	46,420
Total liabilities	<u>152,068,739</u>	<u>51,770,216</u>	<u>203,838,955</u>
Partners' capital	138,900,890	92,438,346	231,339,236
Non-controlling interest	-	125,000	125,000
Total capital	<u>138,900,890</u>	<u>92,563,346</u>	<u>231,464,236</u>
Total liabilities and capital	<u>\$ 290,969,629</u>	<u>\$ 144,333,562</u>	<u>\$ 435,303,191</u>

CRED III Master Funds
Combined Schedule of Investments (Unaudited)
September 30, 2025

Investments (182.2% of capital)

Description	Ownership Percentage	Cost Basis	Fair Value	Fair Value as Percentage of Capital
<u>Mortgage-backed security investments</u>				
FREMF 2022-KF134 Multifamily Mortgage Pass-Through Certificates, Class CS ⁽¹⁾	7.5%	\$ 40,491,244	\$ 40,491,244	17.5%
FREMF 2022-KF145 Multifamily Mortgage Pass-Through Certificates, Class CS ⁽¹⁾	7.5%	50,033,679	50,033,679	21.6%
FREMF 2022-KF151 Multifamily Mortgage Pass-Through Certificates, Class CS ⁽¹⁾	7.5%	54,344,922	54,793,456	23.6%
FREMF 2021-KF126 Multifamily Mortgage Pass-Through Certificates, Class CS ⁽¹⁾	5.7%	26,462,974	26,473,626	11.4%
Total mortgage-backed security investments		<u>171,332,819</u>	<u>171,792,005</u>	<u>74.1%</u>
<u>Preferred equity investments</u>				
South Tryon Flats - Charlotte, NC	56.2%	19,987,603	24,625,165	10.6%
Navona - Mesa, AZ	43.3%	31,273,248	36,969,532	16.0%
Towerview at Ballantyne - Charlotte, NC	34.9%	12,514,209	14,355,894	6.2%
The Valiant - Berkeley, CA	33.6%	9,379,833	10,602,876	4.6%
Aer Lamar - Austin, TX	36.2%	16,583,567	17,707,363	7.7%
Inspire Sonoran Desert - Phoenix, AZ	31.1%	2,781,823	2,900,885	1.3%
Ferncliff - Melville, NY	26.7%	1,151	42,261	0.0%
Total preferred equity investments		<u>92,521,434</u>	<u>107,203,976</u>	<u>46.4%</u>
<u>Real estate loan investments</u>				
35 Stone - Seattle, WA	100.0%	27,079,474	27,079,474	11.7%
JP Morgan Facility Portfolio - Various ⁽²⁾	51.0%	68,872,270	80,748,969	34.9%
Capital One Facility Portfolio - Various ⁽³⁾	53.7%	34,305,856	34,877,942	15.1%
2900 Terrace - Miami, FL	77.2%	1,366	99,247	0.0%
Total real estate loan investments		<u>130,258,966</u>	<u>142,805,632</u>	<u>61.7%</u>
Total investments		<u>\$ 394,113,219</u>	<u>\$ 421,801,613</u>	<u>182.2%</u>

⁽¹⁾ Loan or portion thereof is pledged as collateral supporting the outstanding secured borrowings with repurchase facilities.

⁽²⁾ The JP Morgan Facility Portfolio is levered with a senior participation from JP Morgan and the related values are shown net of such senior participation.

⁽³⁾ The Capital One Facility Portfolio is levered with a repurchase facility from Capital One and the related values are net of such repurchase facility.

CRED III Master Funds
Combined Statement of Operations (Unaudited)
For the Nine Months Ended September 30, 2025

	CRED III Master Fund L.P.	CRED III Holdings L.P.	CRED III Master Funds (Combined)
Investment income			
Interest income	\$ 14,752,641	\$ 2,509,452	\$ 17,262,093
Dividend income	1,456,416	2,109,740	3,566,156
Other income	49,772	101,868	151,640
Total investment income	16,258,829	4,721,060	20,979,889
Expenses			
Interest expense	5,636,984	1,033,944	6,670,928
Management fees	1,500,361	1,611,803	3,112,164
Professional fees	204,912	209,662	414,574
Administrative fees	190,718	31,624	222,342
Amortization of deferred financing costs	113,599	107,944	221,543
Organizational costs	40,946	40,946	81,892
Other expenses	119,678	77,941	197,619
Total expenses	7,807,198	3,113,864	10,921,062
Net investment income (loss)	8,451,631	1,607,196	10,058,827
Change in unrealized gain (loss) on investments			
Change in unrealized gain (loss) on investments	5,666,891	5,740,017	11,406,908
Net increase (decrease) in capital resulting from operations before dividends to non-controlling interest	14,118,522	7,347,213	21,465,735
Dividends to non-controlling interest	-	(11,250)	(11,250)
Net increase (decrease) in capital	\$ 14,118,522	\$ 7,335,963	\$ 21,454,485

CRED III Master Funds
Combined Statement of Changes in Capital (Unaudited)
For the Nine Months Ended September 30, 2025

	<u>General Partner</u>	<u>Limited Partners</u>	<u>Non-controlling Interest</u>	<u>Total</u>
<u>CRED III Master Fund L.P.</u>				
Capital as of December 31, 2024	\$ -	\$ 154,894,667	\$ -	\$ 154,894,667
Net investment income (loss)	-	8,451,631	-	8,451,631
Change in unrealized gain (loss) on investments	-	5,666,891	-	5,666,891
Net increase (decrease) in capital resulting from operations	-	14,118,522	-	14,118,522
Contributions	-	3,433,998	-	3,433,998
Distributions	-	(33,546,297)	-	(33,546,297)
Total increase (decrease) in capital	-	(15,993,777)	-	(15,993,777)
Capital as of September 30, 2025	<u>\$ -</u>	<u>\$ 138,900,890</u>	<u>\$ -</u>	<u>\$ 138,900,890</u>
<u>CRED III Holdings L.P.</u>				
Capital as of December 31, 2024	\$ 172,347	\$ 83,901,481	\$ 125,000	\$ 84,198,828
Net investment income (loss)	-	1,607,196	-	1,607,196
Change in unrealized gain (loss) on investments	-	5,740,017	-	5,740,017
Net increase (decrease) in capital resulting from operations before dividends to non-controlling interests	-	7,347,213	-	7,347,213
Contributions	-	3,539,142	-	3,539,142
Distributions	-	(2,510,587)	-	(2,510,587)
Dividends to non-controlling interest	-	(11,250)	11,250	-
Payments of dividends to non-controlling interest	-	-	(11,250)	(11,250)
Carried interest	1,145,087	(1,145,087)	-	-
Total increase (decrease) in capital	1,145,087	7,219,431	-	8,364,518
Capital as of September 30, 2025	<u>\$ 1,317,434</u>	<u>\$ 91,120,912</u>	<u>\$ 125,000</u>	<u>\$ 92,563,346</u>
<u>CRED III Master Funds (Combined)</u>				
Capital as of December 31, 2024	\$ 172,347	\$ 238,796,148	\$ 125,000	\$ 239,093,495
Net investment income (loss)	-	10,058,827	-	10,058,827
Change in unrealized gain (loss) on investments	-	11,406,908	-	11,406,908
Net increase (decrease) in capital resulting from operations before dividends to non-controlling interests	-	21,465,735	-	21,465,735
Contributions	-	6,973,140	-	6,973,140
Distributions	-	(36,056,884)	-	(36,056,884)
Dividends to non-controlling interest	-	(11,250)	11,250	-
Payments of dividends to non-controlling interest	-	-	(11,250)	(11,250)
Carried interest	1,145,087	(1,145,087)	-	-
Total increase (decrease) in capital	1,145,087	(8,774,346)	-	(7,629,259)
Capital as of September 30, 2025	<u>\$ 1,317,434</u>	<u>\$ 230,021,802</u>	<u>\$ 125,000</u>	<u>\$ 231,464,236</u>